



WARDI Relief and Development Initiatives (WARDI)

TERMS OF REFERENCE (ToR)

For

Establishment of an Integrated Enterprise Resource Planning (ERP) System for WARDI RDI Organization

Phase 1- Design, Development, Installation and Support of an Enterprise
Resource Planning (ERP) System for Human Resource Module

March, 2026

1. Organizational Background

WARDI is a national non-governmental organization operating in Somalia with presence across six regions in South Central Somalia. Founded in 1993 and duly registered with the Federal Government of Somalia, WARDI's mission is to provide dignified support to people affected by crises, enabling them to lead dignified and prosperous lives.

WARDI maintains offices in Mogadishu, Jowhar, Guriel, Wanlaweyn, Beletweyne and Buloburte, as well as a liaison office in Nairobi. The organization implements humanitarian and development programs in health and nutrition, food security and livelihoods, education, protection, and WASH. WARDI apply a bottom-up programming approach, placing communities and local authorities at the center of its interventions.

As part of institutional strengthening and operational growth, WARDI seeks to establish a centralized, integrated Enterprise Resource Planning (ERP) system covering:

- Human Resource Management (HRM)
- Finance
- Procurement & Logistics
- Programs / Project Management

Implementation will begin with **Phase I – Human Resource Management (HRM) Module**, with the system designed to fully integrate future modules under one centralized platform.

2. Justification for Single Source Procurement

The ERP system requires specialized customization aligned with:

- WARDI's internal control framework
- Multi-location operational environment in Somalia and Kenya
- NGO compliance and donor reporting requirements
- Security and confidentiality standards

Single sourcing is justified due to:

- Compatibility with existing digital infrastructure
- Proven technical expertise of the selected provider
- Demonstrated experience implementing ERP systems for INGOs
- Urgency of institutional automation
- Need for continuity in long-term support and scalability.

WARDI reserves the right to request documentation confirming technical and institutional capacity.

3. Purpose of the Assignment

To design, configure, implement, and maintain a secure, scalable, web-based, fully integrated ERP system that will:

- Centralize organizational operations
- Strengthen internal controls and transparency
- Improve data accuracy and real-time reporting
- Enhance efficiency across HR, Finance, Procurement & Logistics, and Programs
- Support evidence-based decision-making

Phase I will focus on HRM while ensuring architecture allows seamless integration of subsequent modules.

4. Overall ERP System Requirements

The ERP system must:

- Operate as a fully integrated platform
- Share a centralized database across modules
- Provide real-time dashboards and analytics
- Allow role-based access control
- Support multi-branch operations
- Be scalable and modular
- Support donor and statutory reporting

PHASE I: HUMAN RESOURCE MANAGEMENT (HRM) MODULE

5. Specific Needs for HRM Module

WARDI requires a comprehensive HRM system to address the following institutional needs:

5.1 Recruitment & Onboarding

- Vacancy planning and approval workflows
- Online and internal job posting
- Application tracking system
- Shortlisting and interview documentation
- Candidate scoring and ranking
- Automated offer letter generation
- Onboarding workflow management
- Probation tracking with alert system

5.2 Employee Records Management

- Centralized digital personnel files
- Secure document repository
- Contract lifecycle management
- Employee master database
- Organizational structure mapping
- Job description management
- Contract expiry alerts
- Staff categorization (permanent, contract, consultant, intern)
- HR analytics dashboard

5.3 Payroll & Compensation

- Salary grading and pay scale structure
- Allowance configuration
- Deductions (tax, insurance, absences, and any other deduction)
- Staff loan and advance management
- Automated payroll processing
- Payslip generation (PDF and employee portal access)
- Bank transfer schedule generation
- Payroll reconciliation reports
- Audit trail for payroll transactions

5.4 Leave & Attendance

Annual, sick, maternity, Emergency Leave, unpaid leave, and other leaves. Attendance tracking and Monthly timesheets (Full-time and Percentages)

Leave approvals and balances

- Configurable leave categories
- Types of leaves (Annual, sick, maternity, Emergency Leave, unpaid leave, and other leaves)
- Automated leave accrual calculations
- Leave balance tracking
- Multi-level leave approval workflow
- Attendance tracking
- Monthly timesheets (Full-time and Percentages)
- Percentage-based salary allocation
- Leave analytics and reporting

5.5 Performance Management

- KPI setting and tracking
- Mid-year and annual appraisals
- Evaluation templates
- Promotion tracking
- Contract renewal alerts
- Performance history archive

5.6 Training & Development

- Staff training records
- Capacity building plans
- Skills tracking database
- Training evaluation and reporting

FUTURE PHASES (INTEGRATED MODULES)

The system must be designed from inception to accommodate the following modules:

6. Finance Module (Future Phase)

- General ledger
- Budget management
- Multi-donor project budgeting
- Accounts payable and receivable
- Bank reconciliation
- Financial reporting
- Cost center and grant tracking
- Integration with payroll
- Integration with HR, Procurement & Logistics and Programs

7. Procurement & Logistics Module (Future Phase)

- Procurement planning
- Purchase requisition workflows
- Supplier database
- Purchase order generation
- Bid comparison tools
- Inventory management

- Warehouse tracking
- Asset management
- Fleet management
- Integration with HR, Finance and Programs

8. Programs / Project Management Module (Future Phase)

- Project lifecycle management
- Activity tracking
- Beneficiary database
- Indicator tracking
- Budget utilization monitoring
- Donor reporting dashboards
- Integration with HR, Finance and Procurement & Logistics

9. Technical Specifications

The ERP system must:

- Be web-based using secure HTTPS protocol
- Be mobile responsive
- Support multi-location operations
- Provide unlimited user accounts with role-based permissions
- Include employee self-service portal
- Support multi-currency
- Provide audit logs
- Support export in Excel, CSV and PDF
- Ensure encrypted data storage
- Provide automated daily backups
- Include API integration capability
- Maintain minimum 98% uptime

10. Data Migration

If required, the provider shall:

- Validate legacy data
- Clean and migrate data securely
- Provide reconciliation report
- Ensure zero data loss

11. Testing and Go-Live

The provider shall conduct:

- Unit testing
- Integration testing
- User Acceptance Testing
- Bug resolution

Go-Live shall occur only after written approval by WARDI.

12. Deliverables

The Service Provider shall deliver:

- ✓ Fully operational integrated ERP system (HR Phase I implemented)
- ✓ System Requirements Specification
- ✓ System Design Documentation
- ✓ Configured HR Module
- ✓ User Manuals
- ✓ Technical Manuals
- ✓ Process flowcharts
- ✓ Training materials
- ✓ Final Implementation Report
- ✓ One-year support agreement

13. Implementation Timeline

Maximum duration for Phase I (HRM): 90 calendar days

- Design & Analysis
- Development & Configuration
- Testing
- Training & Go-Live

14. Contract Duration

- Implementation period
- One-year maintenance and technical support
- Possible contract extension based on performance

15. Payment Schedule

Milestone-based payments:

Percentage	Instalment	Milestone
• 25%	1st Instalment	Completion of HRM Module (Phase I)
• 25%	2 nd Instalment	Completion of Finance Module (Phase II)
• 25%	3 rd Instalment	Completion of Procurement and Logistics Module (Phase III)
• 25%	4 th Instalment	Completion of Programs/Project Module (Phase IV)

16. Warranty & Maintenance

- Minimum 12 months support
- Free bug fixing
- Minor enhancements included
- Response time: 24–48 hours
- 98% system uptime guarantee

17. Confidentiality & Data Protection

- NDA mandatory
- Compliance with data protection standards
- No data sharing without authorization
- Secure data return upon termination

18. Intellectual Property

All customized configurations, documentation, databases and source code (if custom-built) shall belong to WARDI.

19. Termination Clause

WARDI may terminate the contract with 14 days written notice if:

- Milestones are not met
- Confidentiality is breached
- Performance is unsatisfactory

20. Required Documents

- Company profile,
- Registration certificate
- Proof of previous ERP experience with NGOs/INGOs
- Technical proposal including methodology, system architecture, hosting model and key staff CVs)
- Financial proposal with detailed breakdown (all modules/phases)
- Implementation work plan with timeline

21. Submission deadline

The submission deadline is on **8th of March 2026**. Submission after the deadline will not be considered.

22. Annexes

The following Annexes shall be duly completed, signed, and stamped by the Service Provider and submitted as integral parts of this Agreement:

- Annex I – Service Provider Declaration of Honor Statement
- Annex II – Code of Conduct Declaration
- Annex III – Anti-Fraud and Anti-Corruption Declaration

Each Annex shall form a binding component of the Contract upon signature by the Service Provider. Failure to properly complete and sign the required Annexes may result in disqualification or termination of the Agreement, as applicable.